

Grande
L'OCCITANE



DHL

Proposal Glossary

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- 10 #TOGETHERUNSTOPABLE

L'OCCITANE
EN PROVENCE

 **erborian**
KOREAN SKIN THERAPY

 **LimeLight**
by Alcone

Groupe
L'OCCITANE

ELEMIS

SOL  Janeiro

DHL'S APPROACH TO L'OCCITANE GROUP'S DESIRED OUTCOMES



Expected Outcomes - cooperatively addressed

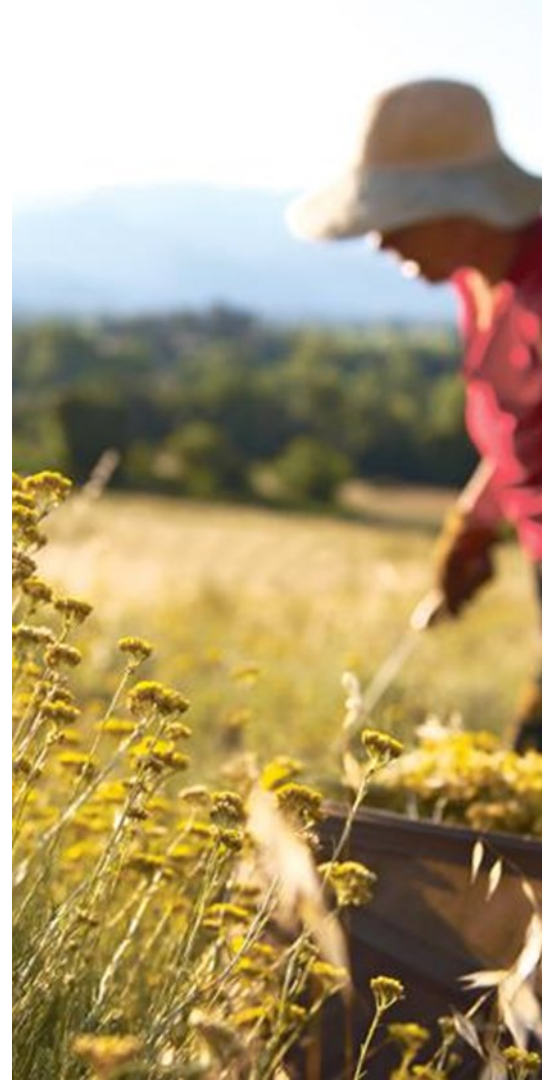


Improve gross margins, provide relief to a capacity constrained existing network, deliver distribution support for significant growth, and enhance individual brand identity



A successful partnership with DHL will enable this outcome for L'Occitane through:

- Consolidation of the NA brands within a single network
- Executing the most effective transformation strategy with attention to:
 - Real Estate availability & cost (pegged @ 400k sqft for Phase I)
 - Labor availability & cost
 - Timeline to deliver the capacity (no later than June of 2024)
 - Return on capital investment
- Effectively scale the solution to support brand specific growth and solve for delivering upwards of 127 million units of throughput capacity by 2027
- Prioritize flexibility to respond to changes in business priorities over time



DHL Approach – transformation in two phases

Phase I – facility outfitted for March 2024 OB go-live

- 400K sqft in Columbus, OH
- Transformational solution consolidating the 3 existing operations to 1 custom engineered multi-brand + multi-channel facility
- Profile adaptability and the ability to scale rapidly is prioritized leveraging Locus AMR as the core technology.
- Labor strategy is supported by regional recruiting center and existing campus resources

Phase II – network expansion supporting continued growth (FY 2026 or 2027)

- Updated network analysis to be performed in order to identify the optimal:
 - Inventory strategy
 - Order management capability
 - Operating geography
 - Operating solution (transport & fulfillment)
- Priority will be placed on achieving a reduction in carbon footprint and increase in speed to delivery while mitigating the additional inventory carrying costs
- Labor strategy will remain supported by regional recruiting center and existing campus resources

Key Criteria

Inbound Profile 	• % Pallet unload = 98% – 60% homogenous – 40% mixed • SKUs/mixed pallet = 6																				
Brand Profile 	• %B2B = 80% unit • %B2C = 20% unit • Brand Profile B2C – %L'Occi & Elemis = 33% – %SDJ = 20% – %Lime Life = 47%																				
Outbound SLA 	• B2B- 48 hrs pick and pack • B2C- 24 hrs pick and pack • (Sat/Sun orders ship on Mon) • Except LimeLife: ship same day if order drops before 1pm																				
Annual Volume (FY 2025) 	<table> <tr> <td>B2B:</td><td></td></tr> <tr> <td>Units</td><td>52,332,693</td></tr> <tr> <td>Cartons</td><td>12,814,119</td></tr> <tr> <td>Pallets</td><td>6,181</td></tr> <tr> <td>B2C:</td><td></td></tr> <tr> <td>Orders</td><td>4,395,243</td></tr> <tr> <td>Units</td><td>13,117,585</td></tr> <tr> <td>L'Occitane Elemis</td><td>4,328,803</td></tr> <tr> <td>SDJ</td><td>2,623,517</td></tr> <tr> <td>LimeLife</td><td>6,165,265</td></tr> </table>	B2B:		Units	52,332,693	Cartons	12,814,119	Pallets	6,181	B2C:		Orders	4,395,243	Units	13,117,585	L'Occitane Elemis	4,328,803	SDJ	2,623,517	LimeLife	6,165,265
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Order Profile 	• % Unit Pick = 44% • % Case Pick units = 46% • % Pallet pick unit = 10% • Average B2C lines/order: 2.7 • Average B2C units/line: 1.3																				
Inventory (Yr 2025) 	• 3,700 SKUs • Max pallets on hand= 17,000 • Equivalent cases on hand = 1,700,000 cases • Inventory turns = 2.3 • Average cases/pallet = 100 • Average units/case = 25																				

DHL has identified key profile assumptions and metrics which are listed below

- Volumes represent FY 2025

Seasonality

- Monthly Peak to average ratio 1.93
 - Design capacity is based on 1.93 peak factor as an assumption
 - Will require daily volume by brand to determine actual peak capacity requirement

Order Profile

- Order pick analysis shows an average 44% unit pick, 46% case pick and 10% pallet pick, varies by brand

Packaging

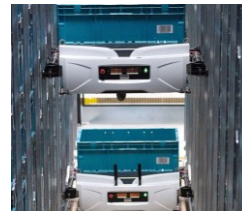
- 12,592,944 units per year

Returns Processing

- 9,303 orders per year

Comprehensive Evaluation

- We evaluated 5 unit pick technologies, for the FY2025 volumes
- We focused on balancing space, throughput, labor costs and capital investment
- Key selection criteria prioritized the following:
 - i. Flexible to profile changes and volume by brand
 - ii. Scalable to support steady state and peak volume
 - iii. Low capital investment
 - iv. Go-Live by mid 2024
- Assisted Picking Robots (Locus) best fit these requirements:
 - Shorter implementation timeline
 - Scalable and flexible to volume changes
 - Low capital and quick ROI
 - Reduce training time for new employees, especially during peak season
- Long term solution to be further evaluated based on network strategy
 - Understanding the purpose and timeline for the West DC



Proposed Commercial Tenants



Operating Term

- 5 Years

Commercial Structure

Open Book with fee of 10% margin of which 2 points are @ risk and seeking 1 point as upside for performance. This is not your traditional cost plus.

“Open Book” is a cost reimbursement + performance adjusted fee arrangement that:

- Incentivizes performance
- Drives continual improvement
- Supports responsiveness to changes in the business without the need for re-commercialization
- Promotes the right decision-making behaviors
- Provides price certainty

*At such time that both parties view the business would benefit from a Fixed/Variable style structure DHL is open to that discussion.

Startup & Ramp up

- Costs demonstrated in the commercial workbook will be billed as incurred

Facilities

DHL will hold the lease. Currently estimated @ ~\$19M in investment. The final facility selection will be collaboratively determined based on final design, detailed investment strategy, forecast & market factors. DHL is proposing to manage all facility related design and buildout elements.

Capital

DHL is proposing to **finance 100% of the capital** for the solution currently estimated @ ~\$12.5 million in capital alone. DHL financing costs to be applied to the purchase. Capital includes both redeployable and non-redeployable assets.

This proposal is contingent on the following:

- L'Occitane establishes a letter of credit (LOC) for the project to cover the amount of non-redeployable capital currently estimated @ ~\$8M. The amount will be open to draw down annually based on the depreciated value of the non-recoverable assets.
- A parent guarantee is provided from L'Occitane International S.A.

A/R & Invoicing

- **Net 30 days with cash neutrality achieved via pre-bill**
- This is the lowest total cost option as it avoids interest on working capital which accounts for roughly 3-4% of the total cost



ENGINEERED DESIGN



Solution Philosophy – custom engineering

DHL has proposed a turnkey solution designed to effectively support consolidation of various L'Occitane brands.



Evaluated data and information provided to formulate inbound, outbound, inventory, and order fulfillment profile

- Annual units 90M (FY25)
- Unit/Case/Pallet Pick 44%/46%/10%



Analyzed volume and activity flow to determine sizing, staffing, capital and system requirements

Leveraged extensive operational experience and insights to confirm assumptions and strategies

- Facility SQ FT 400k sq ft
- Total Direct FTEs 397 FTEs (FY25)
- WMS Solution Manhattan



Recommended applicable technology based on our understanding of the profile and requirements for L'Occitane's transformational roadmap

- Warehouse and support robotics
- Systems and analytics for workflow planning and balancing

Sizing Analysis

- The facility has been sized for FY 2025 storage and operational requirements
- Based on the storage parameters provided estimated sizing is 400K sq ft
 - Storage capacity to be confirmed after building selection
 - Current storage capacity will be exceeded by FY2026
- In lieu of detailed inventory snapshots, DHL has applied the pareto distribution from outbound velocity to the inventory profile:
 - A SKUs = 20% of SKUs, 50% of volume
 - B SKUs = 30% of SKUs, 30% of volume
 - C SKUs = 50% of SKUs, 20% of volume

Area	FY 2025 (Apr 24-Mar 25)	FY 2026 (Apr 25-Mar 26)	FY 2027 (Apr 26-Mar 27)
Reserve Storage	131,500	155,000	179,000
Picking Area	149,000	160,000	179,000
Dock Space	62,000	62,000	62,000
Office	12,500	12,500	12,500
Packing Area	35,000	40,000	45,000
VAS/Packaging	10,000	10,000	10,000
Total Required Area	400,000	439,500	487,500

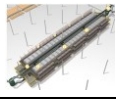
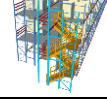
SLA and Throughput Capacity

- **SLA**
 - B2B- 48-hour pick and pack
 - B2C- 24-hour pick and pack (Sat/Sun orders ship on Mon)
 - Except LimeLife: ship same day if order drops before 1pm
- **Throughput capacity**
 - Designed to peak day based on FY2025 volume using an assumption of 1.93 peak factor
 - Will need daily volume, for all brands, during peak to calculate accurate peak requirement
 - For B2C, pick & pack capacity of 124k units/day during peak in FY2025

B2C Volume 2025	L'Occitane & Elemis	SDJ	LimeLife	Total
2025 Projected Volume Units	10,609,435	12,404,314	11,636,860	34,650,610
Projected Peak Day Volume Units	40,322	33,556	49,989	123,868
Projected Hourly Volume Units	1,680	1,398	2,083	5,161

Automation Comparison for Each Picking

Based upon the balance of active SKUs, SKU velocities, space constraints, product packaging, daily volatility, and high maximum throughput requirements DHL recommends a Pick Assisted Robot solution

Metric	Pick Assisted Robot	Mechanized Assembly	Pick Tower/Conveyor	Goods to Person Robots
Technology				
Throughput	Medium	High	High	Medium
SKU Count	High	Low	Medium	High
Space Efficiency	Low	High	Medium	Medium
Capital Investment	Less Capital – Set up in RaaS Model (Robotics as a Service)	Medium Capital	High Capital	Medium Capital
Flexibility/Scalability	High – Easy to move/reconfigure	Low flexibility, High volume – Needs low SKU count & profile	Medium	Medium
Ease to Implement	Fast	Medium	Slow	Medium
IT Integration with WMS	Yes	Yes	Yes	Yes
Additional Comments	AA movers require multiple locations to avoid congestion	SKU profile requires high concentration of limited active SKU count	Large investment in fixed infrastructure	Does not fit large B2B order profile as well as APR (Locus)

Assisted Picking Robot - Locus

- Improvement in picking productivity of 50%-150%
- Easy to scale during peak periods
- Reduced training and ramp up time
- Low capital solution allowing for flexibility
- Fast implementation timeline
- High number of lines in B2B orders make a more automated solution less efficient

Total Annual APR Cost	\$1,979,407
Labor Savings	\$3,408,531
Supervisor Savings	\$213,873
Reduced turnover, training, equipment and licenses	\$221,251
Total Estimated Annual Savings	\$1,864,248



Increases Productivity

Picking Prod Boost

- Simplified task execution
- Reduced unproductive walk distances
- 50% - 150% picking prod improvement



Reduced Order Cycle Time

Faster Picking

- More productive
- Smaller batches released

Fewer Touches

- No need for post-pick sortation



Reduced Training & Ramp

Training

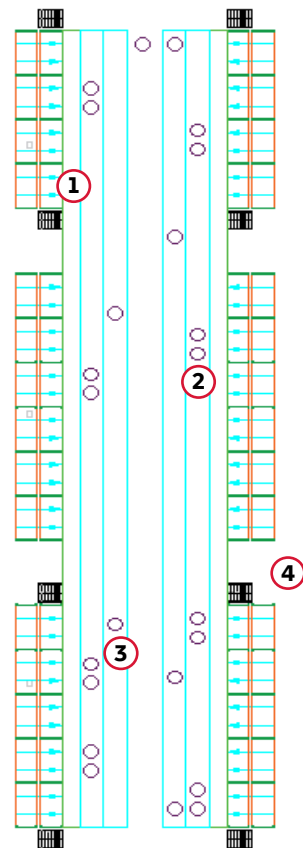
- Inexperienced pickers trained in 0.5 days (80% reduction)

Ramp Up

- Picking ramp up period reduced to ~1 week

Pick and Pass: Fast Pick with Locus

- Putting fast moving SKUs into a regular aisle leads to:
 - Congestion of robots (robots are waiting and can't pass to get to another location)
 - A larger number of replenishments into small pick locations
- 28' Wide aisles reduces congestion, allowing robots to pass robots that are queued for picking
- 300 pallet flow locations will have 30 of top moving SKUs for all 4 brands (120 total SKUs)
- Multiple locations will reduce crowding of robots at one location
- This will account for approximately 37% of overall unit volume



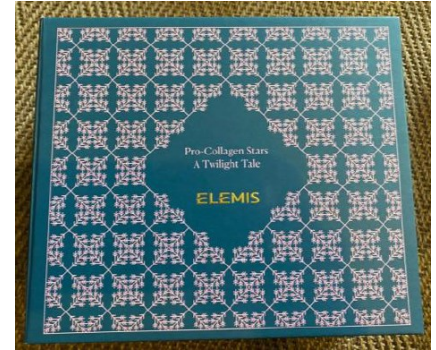
1. Picking Aisle
2. Queue for orders lane
3. Passing lane
4. Empty pallet/dunnage drop

Packaging



- **Packaging Productivity**

- DHL was able to estimate number of associates for packaging
- Team will need annual volume and more specs to refine estimation
- Key assumptions:
 - Assumed 25% Relabeling, 37.5% Simple (2 items), 30% medium (4 items), 7.5% Hard (12 items)
 - Seasonality from a similar business used, with peak in July and August
 - Assumed quantity of finished VAS in a case, quantity of cases on pallets
 - Assumed 12 items for a hard build (assumed some smaller than advent calendars)
 - High level estimate of 84 units/hour



Innovation Roadmap for L'Occitane

Through DHL's Accelerated Digitalization agenda, we create and maintain visibility of all the great ideas out there, whether they come from innovation efforts within DPDHL or from our partners and external vendors.

For this project, we assessed different technologies and classified them by maturity level. We will share this list regularly with L'Occitane as new options are identified

Go-Live



CONCEPT OF OPERATIONS



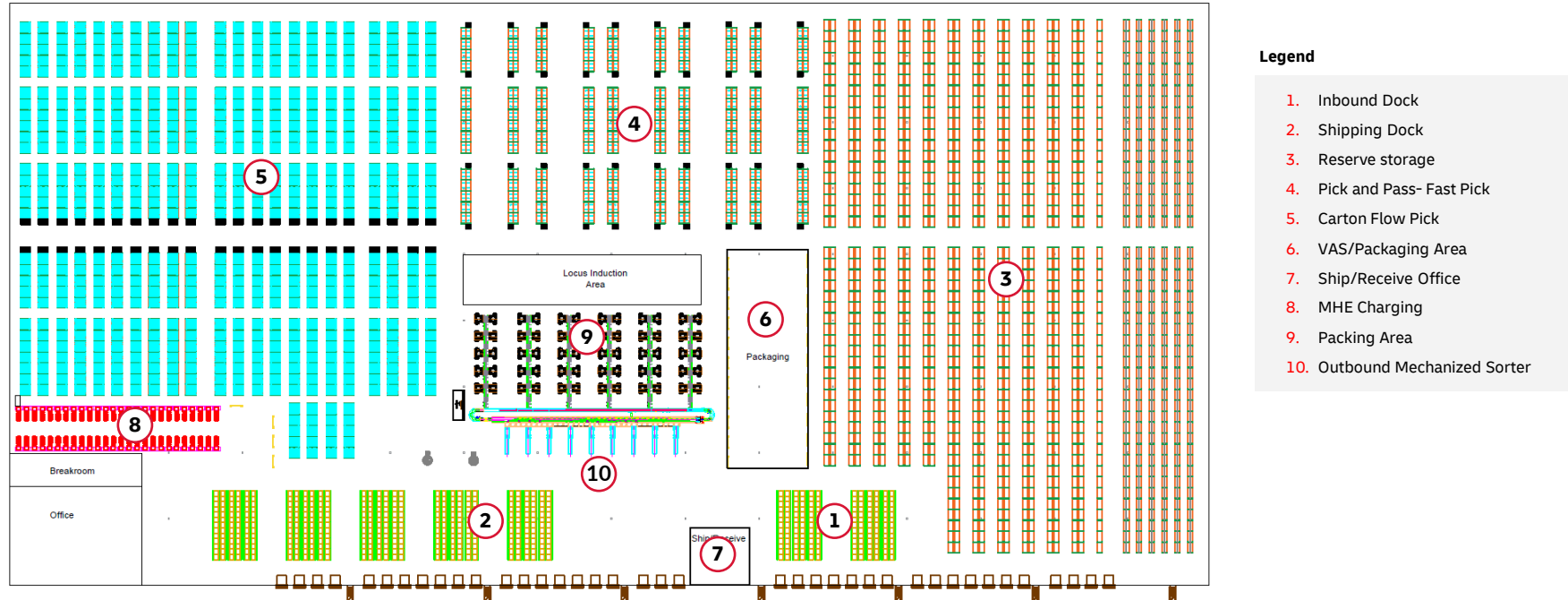
New Jersey vs Columbus, OH

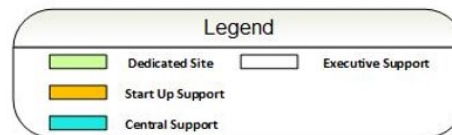
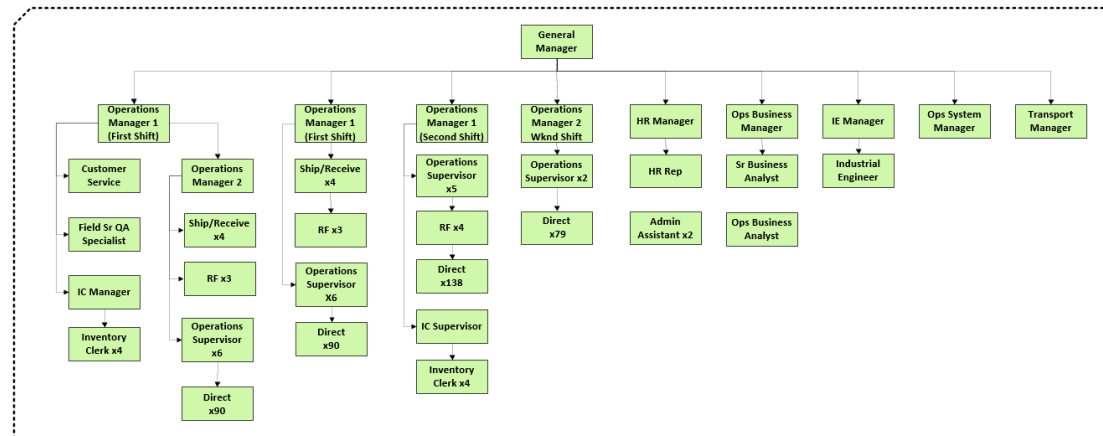
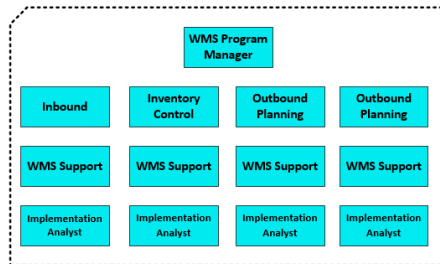
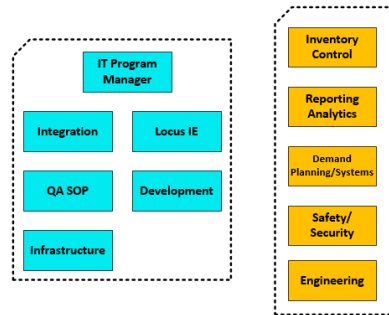
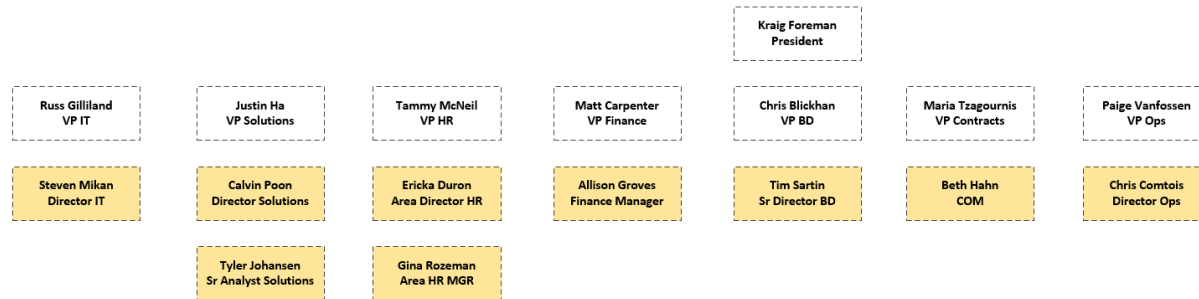
	Columbus FY 2025	New Jersey FY 2025	Difference
Labor & Fringes Expenses	\$ 31,846,779	\$ 36,400,163	\$ 4,553,383
Facility Expenses	\$ 5,023,011	\$ 11,622,681	\$ 6,599,671
Total	\$ 36,869,790	\$ 48,022,844	\$11,153,054

- Columbus is DHL's preferred location
- Rent is more cost effective in Columbus
 - FY2023 NNN Columbus \$5.50/sqft
 - FY2023 NNN New Jersey \$19.00/Sqft
- Wages for salaried and hourly is more reasonable in Columbus
 - FY2023 Forklift Wage Columbus \$18.00/hr
 - FY2023 Forklift Wage New Jersey \$18.50/hr
- Columbus is in central area which allows for better shipping rates and service levels
- DHL has a campus in Columbus, which will lead to more labor sharing opportunities and operational support

Conceptual Layout

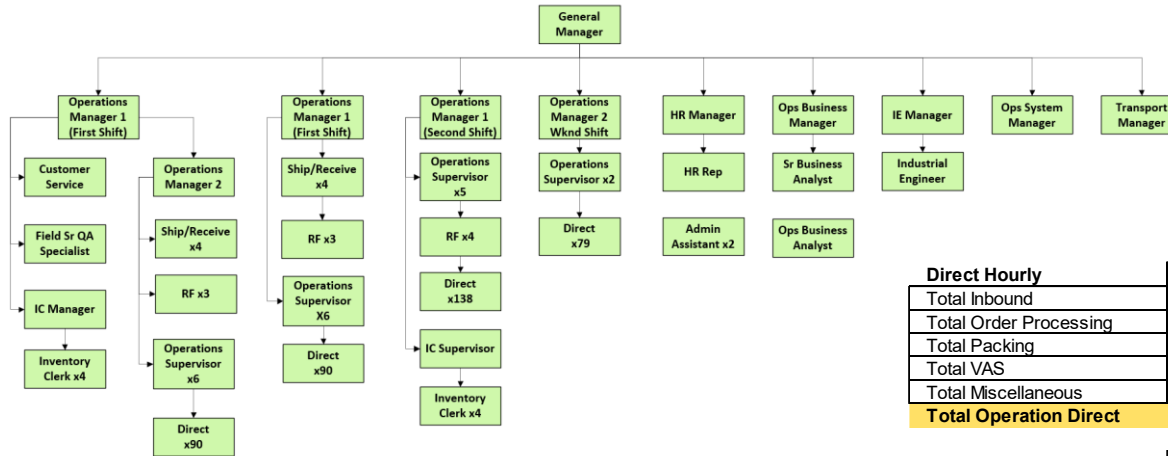
The following conceptual facility plan captures the functional areas identified for this operation. This layout will be validated and finalized after detailed data analysis and mechanization design, and site selection.





Staffing Summary – Organizational Chart

- The following summarizes the required headcount and management structure to support the operation in 2023 and 2024



Direct Hourly	FY25
Total Inbound	46.0
Total Order Processing	141.0
Total Packing	104.6
Total VAS	88.7
Total Miscellaneous	16.7
Total Operation Direct	397.0

Operation Indirect	FY25
Admin Ass't	2.0
Cust Service	1.0
Ship/ Receive	8.0
Inventory	8.0
RF Tasking	10.0
Total Operation Indirect	29.0

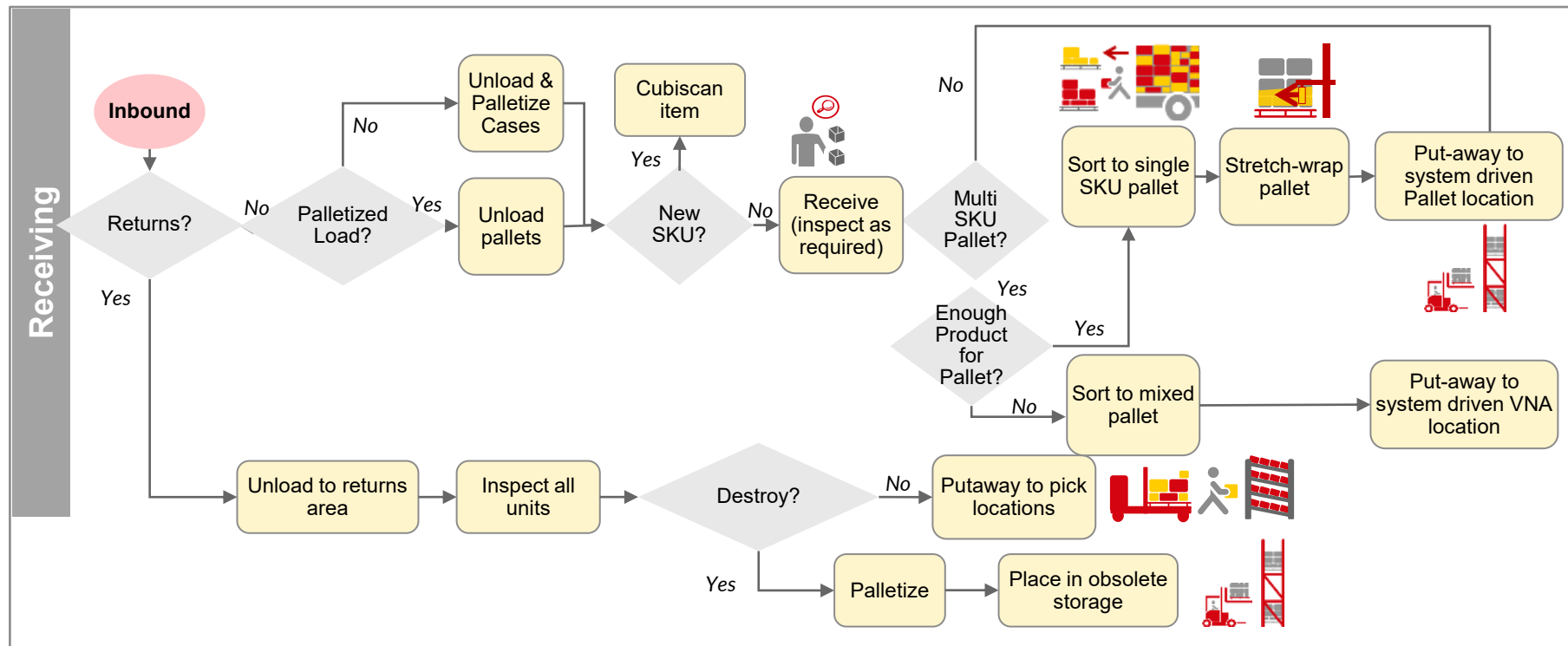
Management	FY25
General Manager 1	1.0
Operations Manager 1	2.0
Operations Manager 2	2.0
HR Manager	1.0
Industrial Engineering Mgr	1.0
Operational Business Manage	1.0
Operations Systems Mgr	1.0
Transportation Manager 1	0.5
Inventory Manager 1	1.0
Operations Supervisor	23.0
Field Sr QA Specialist	1.0
Inventory Supervisor 1	1.0
Operational Business Analyst	1.0
Industrial Engineer	1.0
Sr Business Data Analyst I	1.0
HR Rep	1.0
Seasonal Support Bonus	1.0
Total Management	40.5

Shift and Schedule Pattern

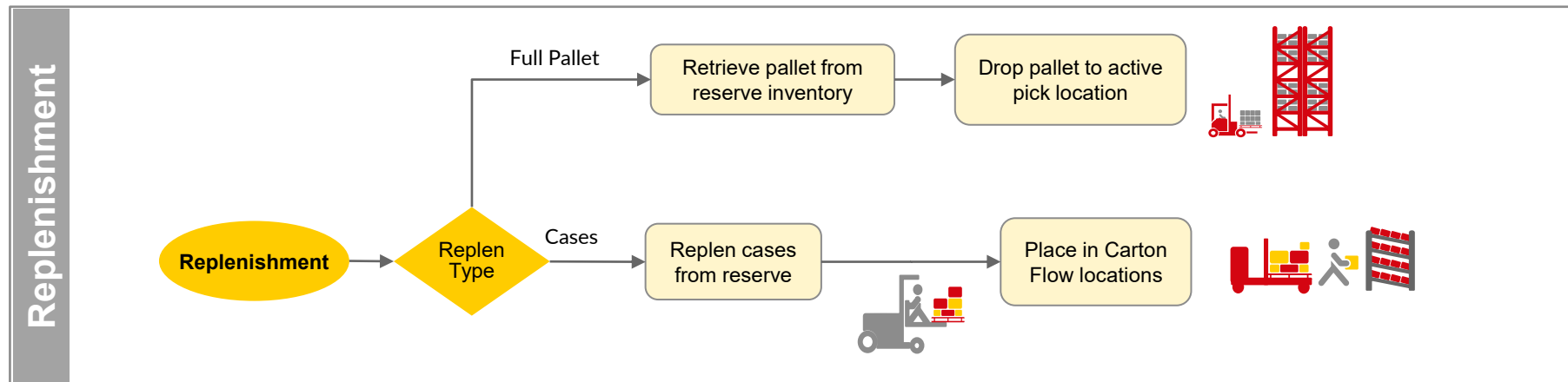
- 2 + 1 Shift operation
 - Two 10-hour shifts Monday through Friday
 - One 12-hour weekend shift Saturday to Sunday
- DHL Associates will be cross trained across several shifts
- DHL will work with L'Occitane on forecasting for Volumes daily & weekly. Labor management from VTO and MTO

Operation Shift Structure								
Shift	Time	Monday	Tuesday	Wednesday	Thursday	Friday	Saturday	Sunday
Day	6a-4p	x	x	x	x	x		
Afternoon	4p-2a	x	x	x	x	x		
Weekend	6a-6p					x	x	x

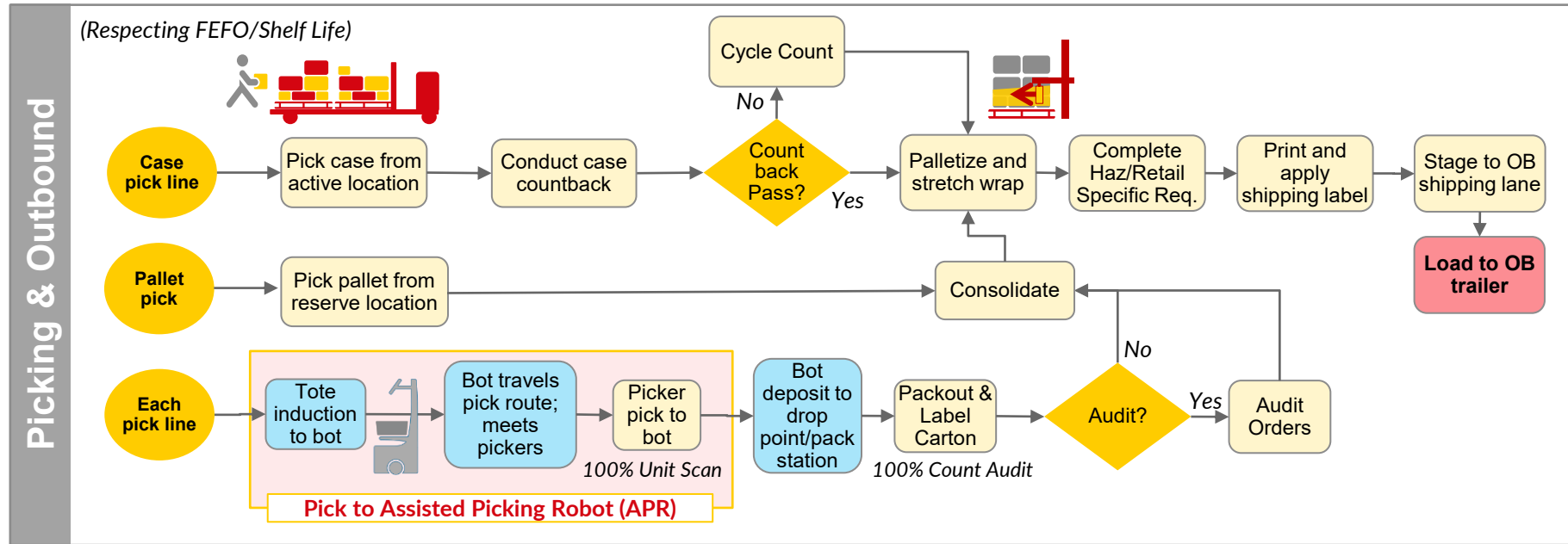
Process Flow: Inbound



Process Flow: Replenishment

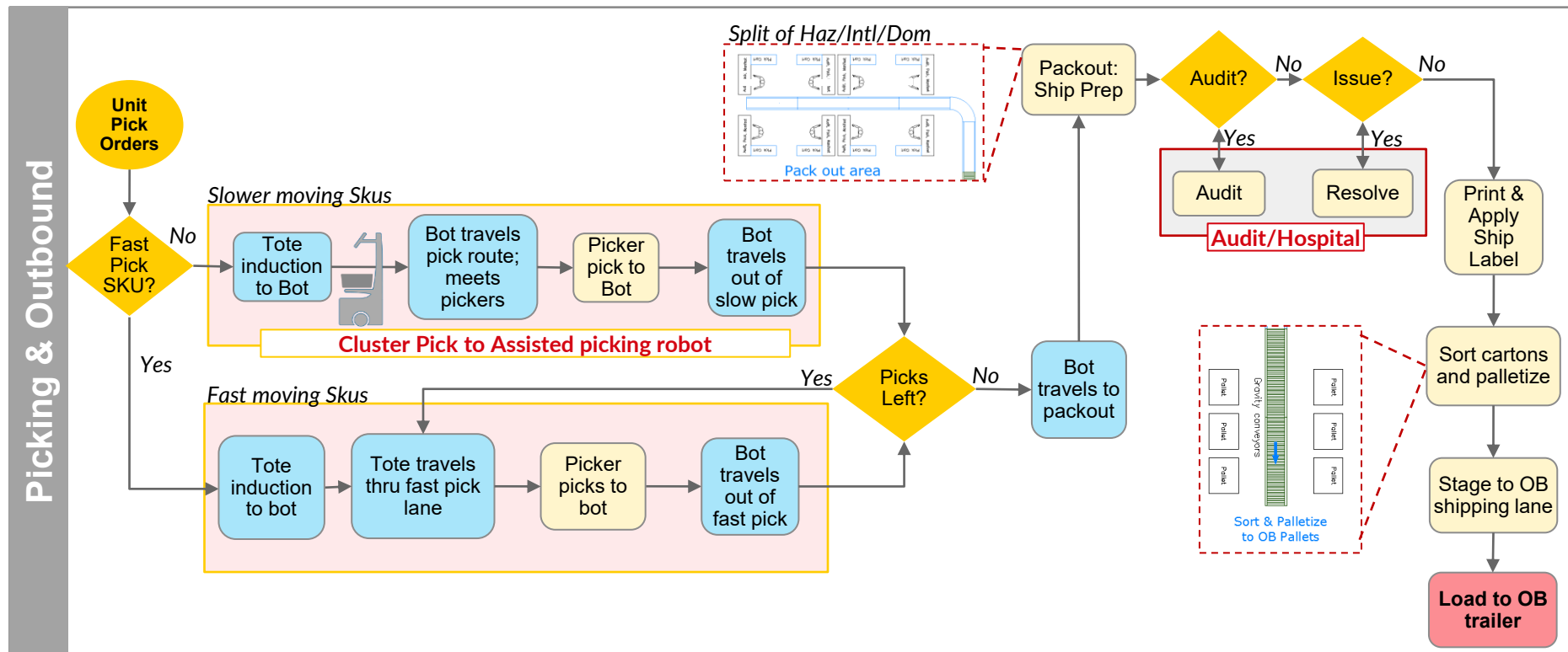


Process Flow: All Picking for B&M



- Random audit % based upon agreement between DHL

Process Flow: Each Picking for Ecom



Equipment

Equipment	Quantity
Stand Up CB	3
Double Pallet Center Rider	17
Stockpicker	23
MonoMast (S Class)	9
Assisted Picking Robots (Unit) - Locus	146
Electric Sweeper / Scrub	1
Semi-automated Stretchwrapper	2
Manual Pallet Jack	12
Picking Carts	10
Baler	1
CubiScan	1

OPERATING BUDGETS



Budget Overview

Model Year	FY 2025	FY 2026	FY 2027
Location	Columbus Ohio	Columbus Ohio	Columbus Ohio

Annual Budget	\$ 49,505,426	\$ 51,899,102	\$ 54,522,312
Annual OB Orders	4,458,817	4,458,817	4,458,817
Annual OB Units	89,975,604	89,975,604	89,975,604
All In Cost Per OB Order	\$11.10	\$11.64	\$12.23
All In Cost Per OB Units	\$0.55	\$0.58	\$0.61

Annual Fixed Cost	\$21,161,345	\$22,512,362	\$24,055,061
Annual Variable Cost	\$27,287,754	\$28,330,254	\$29,410,740
Annual Seasonal Cost	\$1,056,328	\$1,056,487	\$1,056,512

SUMMARY (included in the budget above)			
Capital Exp. Incl in Budget	\$2,745,095	\$2,524,366	\$2,301,462
Starting Wage (Forklift)	\$21.28	\$22.13	\$23.02
Facility Sq Ft	400,000	400,000	400,000
Real Estate Rate (NNN)	\$5.95	\$6.19	\$6.43
Real Estate Rate (Gross)	\$11.12	\$11.42	\$11.73

Annual Inflation (associates wages)	4%	6% in 2023 and 4% onwards
Annual Inflation (mgmt salaries)	3.5%	
Annual benefits increase	4.2%	
Facility Rent Increase	4.0%	
Facility CAM	4.0%	

Total Startup Budget	\$ 3,884,269.81
Total Rampup Budget	751,966

Key Pricing Assumptions

- Based on 5-year contract
- Inflation of wages, salaries, and benefits have been included
- Real estate rates represent current market rates and are subject to volatility
- A/R terms assumed to cash neutral
- Packaging supplies (pallets, corrugate, void fill, etc.) considered as pass-through cost and not considered in budget
- DHL is not responsible for end-of-life product storage or destruction
- Start-up/Ramp-up is excluded from operational budget
- Management fee of 10%

Capital Summary

- The following table summarizes the capital factored in the pricing including all equipment, racking, and IT systems costs

Assets	Capital Amount	Annual Depr. & Interest
MHE	\$ 941,894	\$ 263,853
Storage	\$ 3,958,767	\$ 856,298
Conveyor System	\$ 3,000,000	\$ 866,667
Office Equipment	\$ 582,924	\$ 146,279
Property Refurbishment	\$ 41,127	\$ 11,881
Security Capital	\$ 447,200	\$ 129,191
IT	\$ 1,630,130	\$ 470,926
TOTAL	\$ 10,602,042	\$ 2,745,095

Key Capital Pricing Assumptions

- Capital depreciated over useful life
- Racking has been priced based on recent quotation.
 - Cost of steel for use in racking, automation systems etc. – prices are volatile
 - Prices from suppliers are valid for periods between 5-30 days.
- Equipment costs are estimate, will require vendor quotes to finalize costs
- Hazardous materials room not taken into consideration, will need to review SDS sheets to verify requirements

Start Up and Ramp Up Summary

- Start-up costs are defined as expenses incurred prior to first receipt in setting up facility and hiring/training staff; ramp-up costs are defined as direct labor inefficiencies required to bring staff to steady state productivity

DHL's Proposed START UP Budget	Columbus Ohio
Total Budget	
Offsite Labor	\$141,136
Permanent Staff Training	\$1,300,470
Permanent staff travel	\$10,716
Ops/ILD/PM Travel	\$5,358
HR Travel	\$4,432
Recruiting	\$23,037
Facility Prep:	\$197,866
Rack Freight/Install	\$37,020
Equipment Installation	\$0
Facility Lease	\$0
Real estate legal	\$7,500
Pre-go live BOAC	\$374,685
Temp mapping (non-capital)	\$0
Construction Management	\$100,000
0	\$0
IT (from WCapital page)	\$968,442
Contingency	\$316,367
Sub Total:	\$3,491,571
Management Fee	\$392,699
Total Startup Budget	\$3,884,270

DHL's Proposed RAMP UP Budget	Columbus Ohio
Total Budget	
Direct Labor	\$676,769
Clerical Labor	\$0
Supervision	\$0
Equipment	\$18,521
0	\$0
Subtotal	\$676,769
Management Fee	\$75,197
Total Rampup Budget	\$751,966

Key Start Up and Ramp Up Assumptions

- Start-up and ramp up costs to be billed as incurred
- Offsite start-up support provided
- 3 Managers and 2 Supervisors – 8 weeks
- Permanent Staff
 - Salaried roles to be hired ahead of go live. Time varies depending on role and responsibility. These individuals will be responsible for the set up of the operation
 - Direct and Clerical will receive 2 weeks for DHL onboarding and training
- Direct labor ramp-up
 - Direct Inbound – minimal ramp up as we expect staff to be fully productive after inventory build up
 - Direct Outbound – period of 5 months
 - No ramp-up for clerical labor as these positions will be filled with existing experienced campus labor

DATA AND ASSUMPTIONS



Request for Data

- Monthly Inventory Snapshot
- Item Master
- Order data, broken down by line level by brand for 12 months
- Shipment data by brand for 12 months
- Customer list for B2B
- DC Bin Types
- Returns shipment list
- SDS Sheets



Assumptions

- 25 units/case
- 100 cases/pallet
- All mixed pallets to be sorted and scanned
- SKU Growth of 1.5%
- All homogeneous pallets are 1 lot code and no separation required
- 6 SKUs/mixed pallet
- 2% of loads come in floorloaded with enough product for homogenous pallets
- All cartons are 0.5 ft³
- For carton pick, 39 cases/pallet for non-hotel and 3 cases/pallet for hotel
- Outbound full pallet picked SKUs do not need to be wrapped
- All non-sellable units are in storage locations, picked to order and cannot be stored at a pack station
- 3% of orders need to be audited
- 95% of unit packed SKUs can be sorted through the outbound sorter into a gaylord
- 250 parcels/outbound pallet
- Peak to average ratio is 1.93

Assumptions

•Facility

•The following costs were not taken into consideration and will need to be reviewed for the next proposal

- FDA grade improvements per code/cGMP/ISO requirements
- Permits, licenses
- Temperature Mapping assumed not in scope
- Hazmat shipping and storage requirements will need to be reviewed
- DHL has included the following facility related costs for all sites. Costs assumed to be included in DHL scope include:**
 - Lease, CAM, taxes, insurance, and other Building OpEx
 - Trash removal
 - Utilities cost which is estimated
 - DHL office space and shared break room
 - Full dock packages at all doors on both sides including seals, leveler (min: 40k lb), trailer restraint, air drop, 110V quad outlet, trailer light
 - Site security infrastructure
 - Security monitoring is 3PL responsibility
 - Lithium Battery area installation to code; including electrical service and disconnects, ventilation, floor painting, drains, eye wash, permits
 - Sanitation infrastructure: sweeper/scrubber dump station and charging areas, sanitation closets, etc
 - Guard rails and other fixed facility assets related to safety
 - Rental equipment to support ramp-up or peak months if needed
 - DHL will handle pest control and office cleaning
 - Facility prep items to reflect DHL culture and best practices

Assumptions

Labor

- The hourly productivity rates and detail assumptions by activity included in the Concept of Operations are included in the budgets provided. They are benchmarked from similar operations
- **Lost productivity due to profile change, plus any extra MHE needed will be billed as agreed. Budget provided does not account for any profile variance including:**
 - Exceeding yard capacity
 - Storage capacity beyond 85%
 - Overflow site handling
 - SKU growth over 1.5%/year
 - Excess obsolete inventory including holds
 - Inventory policy changes
- **Labor cost, supervision, indirect support for the following activities have not been included in the budgets:**
 - Pallet Transfer – no pallets cost have been included
 - Re-stocking (de picks)

Assumptions

Labor (cont)

- **Labor cost, supervision, indirect support, MHE and other capital for the following value-added (VAS) activities have NOT been included in the budgets provided:**
- Recoup and damage handling; this includes inventory of less than full case quantities
- Loss allowance for damaged/missing product
- Trailer/Container detention due to loading issues, overweight rework, scheduling constraints
- Cancelled order restocking
- Inbound labeling (LPN, etc)
- Customer specific and regulatory shipping requirements; case labeling, pallet labeling, etc
- Shipping supplies: shipping pallets (CHEP or other), storage pallets wrap, labels, etc (to be provided at cost plus 5% margin and are not included in budget)
- All homogeneous pallets come in wrapped on acceptable pallets
- Nonstandard activities (different than accessorial shared in RFP) are not included in pricing, pending advance notice
- Hourly labor has been provided: minimum hourly billing will be in effect for emergency and holiday coverage outside of normal operations to cover supervision

Assumptions

Labor Ramp-up included in Start-up Budget:

- All Labor Costs incurred prior to start-up are included in start-up budget
- Variable labor costs due to inefficiency over the first 5 months of operating is included in the ramp-up budget
- Transition Support Team travel and hours
- New Salary Associates on-boarding prior to go-live
- DHL training of new associates prior to go-live
- DHL includes cost to relocate 2 management associates (if required) for New Jersey, none for Columbus

LABOR STRATEGY



Labor Strategy

In the field of contract logistics, a motivated and well-trained workforce is critical to offering L'Occitane an optimal solution. Therefore, we take a proactive and multi-layered approach to both attracting and retaining DHL employee's vs relying on temp labor. The shift from temp labor to full-time employees is proving successful, as shown by this renewed certification from the Top Employers Institute.



Specifically in the US, our top-performing areas include **workforce planning, performance management, Certified Supply Chain Specialist (CSCS) program, online learning and development offerings, succession planning, and college recruiting processes**. These all add up to outstanding opportunities for every member of our organization and ensure our continued success and market leadership.

Location Labor Market Conditions: DHL's Columbus campus contains a strong pipeline of tenured leadership and hourly workforce. Internal operations and functional leadership candidates are available in the Columbus campus that includes 20+ sites that are largely complex multi-channel operations.

Competitive Compensation: DHL's wage progression is designed to be competitive in the marketplace by being positioned between the 50th and 75th %tile of the starting wage rate.

Hourly Columbus Campus Labor

Shift Premiums

\$1.00 2nd & 3rd Shift

\$1.50 Weekend Day

Incentives

Surge Premiums and Peak Incentives

Benefits

401(k) Retirement Savings Plan

Life and AD&D Insurance

Short Term Disability Insurance

Employee Assistance Programs

Education Reimbursement

Paid Holidays

Paid Vacation

Health & Welfare Insurance (Medical, Dental, and Vision)

Columbus Campus		Month Progression			
Labor	Admin	START	12 MO	24 MO	36 MO
Order Filler Picker Returns Processor	Data Entry Operator	\$17.00	\$17.35	\$17.70	\$18.25
N/A	Customer Service Rep General Clerk Inventory Control Clerk Traffic Clerk	\$17.75	\$18.15	\$18.55	\$19.05
Bldg Maintenance	Group Coord Lead-CSR Group Coord Lead-Inventory Control Clerk Group Coord Lead-Traffic Clerk Inventory Control Coord. Tasker	\$18.75	\$19.15	\$19.55	\$20.05
Auditor Brander Cycle Counter Forklift Operator Material Handler	Operations Clerk	\$18.00	\$18.40	\$18.80	\$19.30
Group Coord Lead Group Coord Lead - Material Handler	Trainer	\$19.00	\$19.40	\$19.80	\$20.30

*Bi-annual wage reviews/assessments and market evaluations

*Monthly discussions with L'Occitane to review labor market

High Level Planning Strategy (FY 2025)

FTE by Month

Seasonal Category	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Max	Average
Total	334.1	338.0	312.9	268.2	281.4	344.5	289.3	329.7	543.0	492.2	587.5	643.6	643.6	397.0
Blended Seasonality	7.0%	7.1%	6.6%	5.6%	5.9%	7.2%	6.1%	6.9%	11.4%	10.3%	12.3%	13.5%	13.5%	8.3%

- In steady state, 90%+ of the total workforce will be Full-Time
 - Agency employees will be used to supplement demand during peak volumes
- Campus partner accounts have labor can provide labor share during non-peak times both in terms of hourly associates and leadership
- Can use campus resources in Recruiting Center (pictured to the right) to hire for peak times



Regional Recruiting Center



DHL Supply Chain has established centralized recruiting centers to create recruiting support for sites across the United States and Canada.

There are seven centers across North America to manage hourly recruiting, each of which uses the same systems, processes and tools and operates under the same governance procedures.



Regional Recruiting Center

Benefits of Our Centralized Hourly Recruiting Approach

- Improved candidate experience
- Onsite drug and background resources
- Proprietary attendance and turnover tracking tools
- Well versed in partnering with Columbus operations that experience dramatic spikes in volume
- Ability to stay connected to "ready" candidate pool for future and seasonal needs
- Ability to handle start-up recruiting using a standard, consistent, and modern process

2021 Columbus Campus Results

- We processed 9,400 applicants
- We hired 2,100 employees



Peak Approach

Peak Steering Committee

- Cross-functional team including members of HR, Finance, Marketing & Operations who meet year-round to plan for peak season
- Weekly competitor wage analysis & internal rate evaluations completed
 - Policy & onboarding process reviews
- Weekly communication with all campus leadership to review volumes, labor needs and peak planning strategy
- Creation & maintenance of a "peak playbook" that details all required tasks and deadlines to deliver a successful peak season

Marketing

- Robust digital/social campaign (Facebook; Snapchat)
 - Search Engine Marketing
 - Customized peak landing page
 - Indeed-sponsored hiring events
- Traditional marketing (radio, billboards, print advertising)
 - Media Relations
 - Geofencing
 - E-mail blasts

Strategic Staffing Agency Partnerships

- 15* strategic agency partners in Columbus market; all vetted & screened for supplying labor
- Low-negotiated markup rates based on DHL's national presence
- Peak-season planning sessions held to secure number of associate commitments by agency, to ensure proper staffing for the campus
- Integrated system for requesting and paying temporary agency workers

DHL Campus – Columbus, OH



DHL's understanding of the local labor market, depth of existing capability, extensive resources will deliver reliable support to L'Occitane

DHL Columbus, OH Campus

Facts & figures

- 3612 associates
- 14 million square feet
- 27 customer sites
- Senior management resources locally based
- Local functional support

Key

- Consumer
- Life Science & Healthcare
- Technology, Service Logistics
- Chemicals & Energy
- Retail
- Auto, Engineering & Manuf



SYSTEMS SOLUTION



Comprehensive, integrated IT solution

Serves as the backbone of the operation, enabling a responsive, reliable, and highly visible supply chain

-  Core applications
-  Visuality layer
-  Ancillary/micro-service – planned scope
-  Ancillary/micro-service – growth option



Expertise with Manhattan Implementations

DHL Supply Chain knows how to operationalize Manhattan's Warehouse Management System. To-date DHL Supply Chain has implemented Manhattan at over 435 customer sites worldwide with over 5,150 concurrent users worldwide.

 Standard eCommerce operating template facilitates ~70% reduction in configuration effort over the traditional end to end configuration approach. Allowing focus in the quality of solution delivery.

 Extensions to support like operating models will be leveraged within this solution.

 DHL Supply Chain leverages its vast product knowledge. Our projects consist of 85% internal labor and 15% Manhattan labor to support.

 Scalable, flexible application that aligns with eCommerce business needs (growth, volume, automation).



DHL LINK is the conduit that connects your systems



-  **FLEXIBLE**
Standard building blocks satisfy individual customer integration
-  **RESILIENT**
Reduces risk through consistent processes and deep industry expertise
-  **SCALABLE**
Flexibility and scalability to support evolving business needs including new market entry

 **Circa 2,478**
Trading Partners connected globally

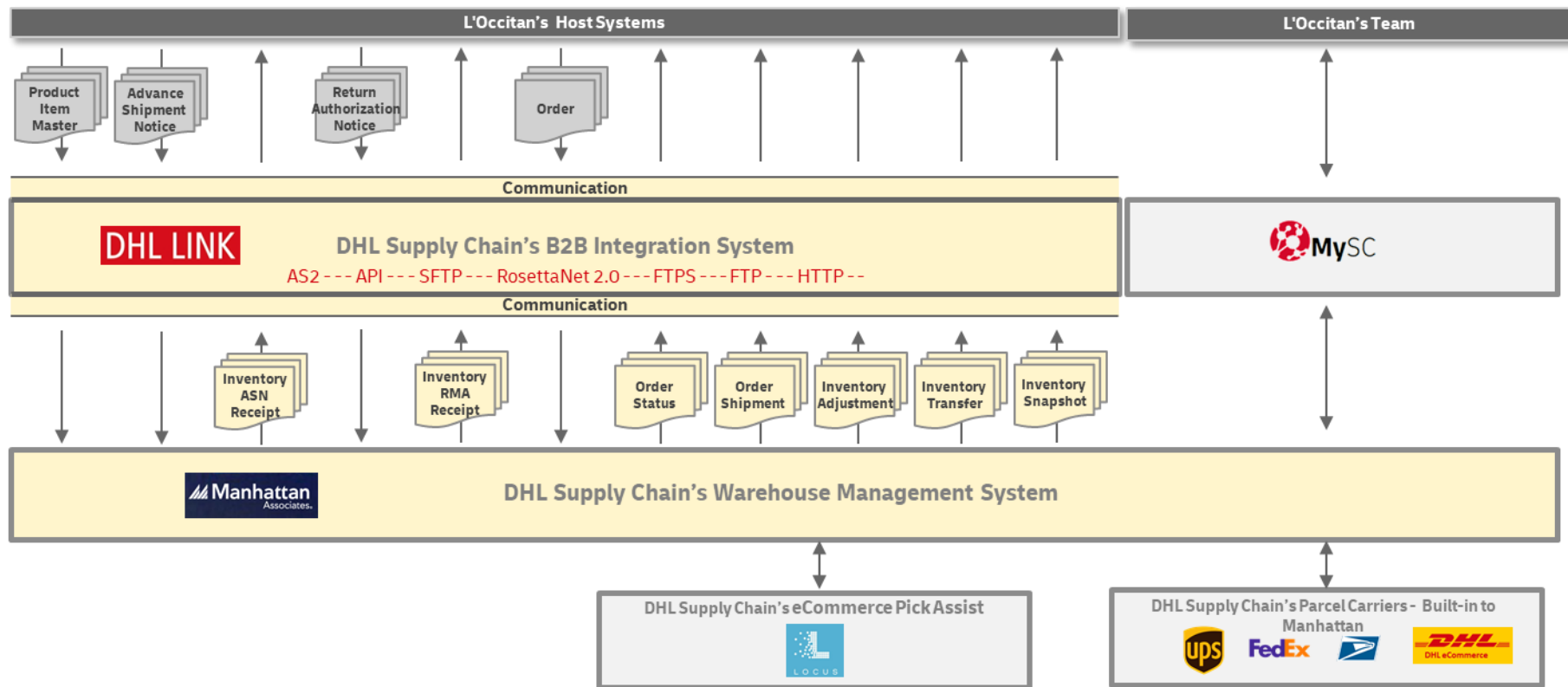
 Trading partners operating in
50 countries

 **4.4 billion**
Messages annually flow through DHL LINK

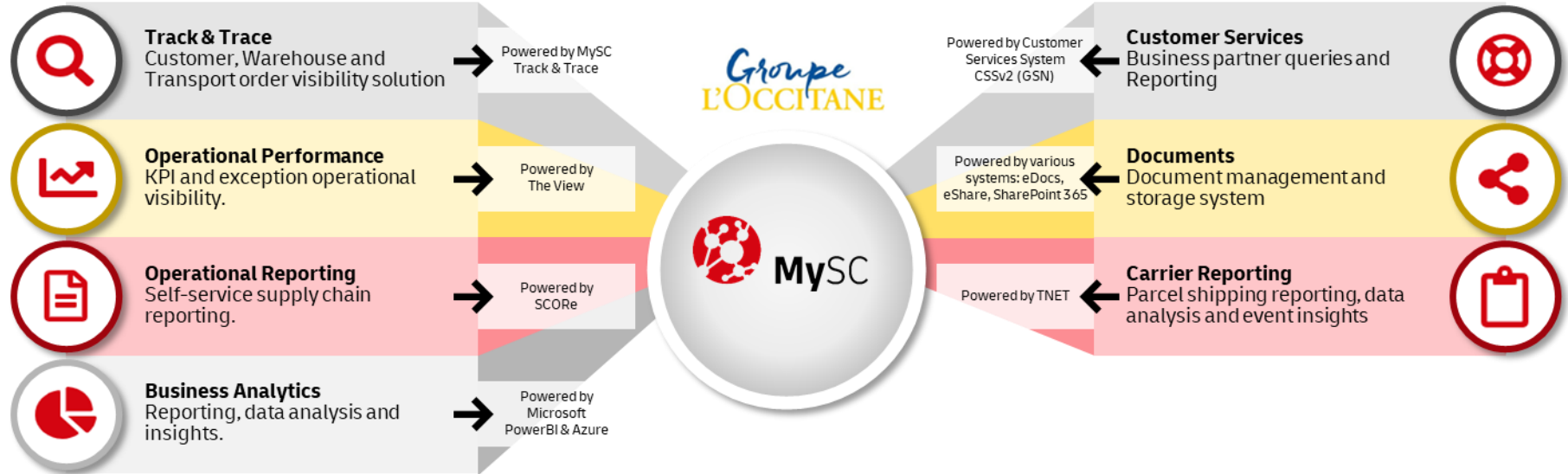
 **296**
Customer implementations

IT integration solution concept is simple yet comprehensive.

Groupe
L'OCCITANE



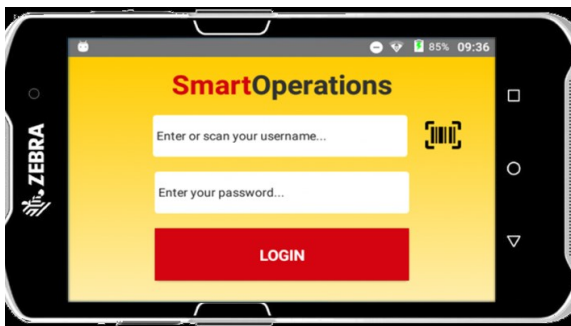
MySupplyChain – globally standardized, secure customer platform



MySupplyChain provides a single point of access for integrated supply chain functions so you can gain insights more effectively

SmartOperations

SmartOps surfaces key OMS data in an easily consumable format, providing better control of warehouse operations and improving decision-making. The program encompasses a suite of **digital applications** that can be accessed via approved **mobile wearable devices**, such as Android 6 (or newer) RF's and Zebra tablets:

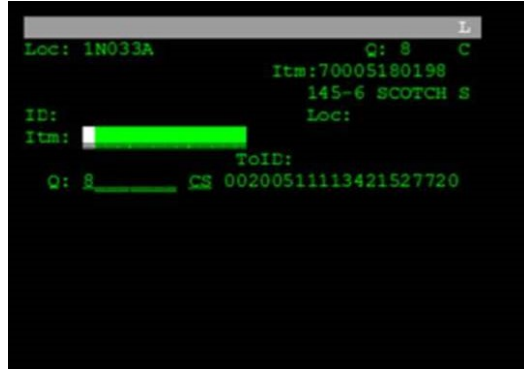


Benefits of leveraging SmartOperations:

- ✓ Digitalization of paper processes, such as near miss / hazard and incident reporting
- ✓ Increased time spent on the floor by Ops leadership
- ✓ Centralization of DSC applications
- ✓ Easy navigation, with same look & feel across core apps

SmartScreens – goodbye RF “green screen” !

SmartScreens provide a user interface that is **easy to understand** and **minimizes the learning curve** for a new user. They support soft Hotkeys / Menu Buttons for quick access and easy usage, as well as context-based Keyboards.



RF “Green Screen”



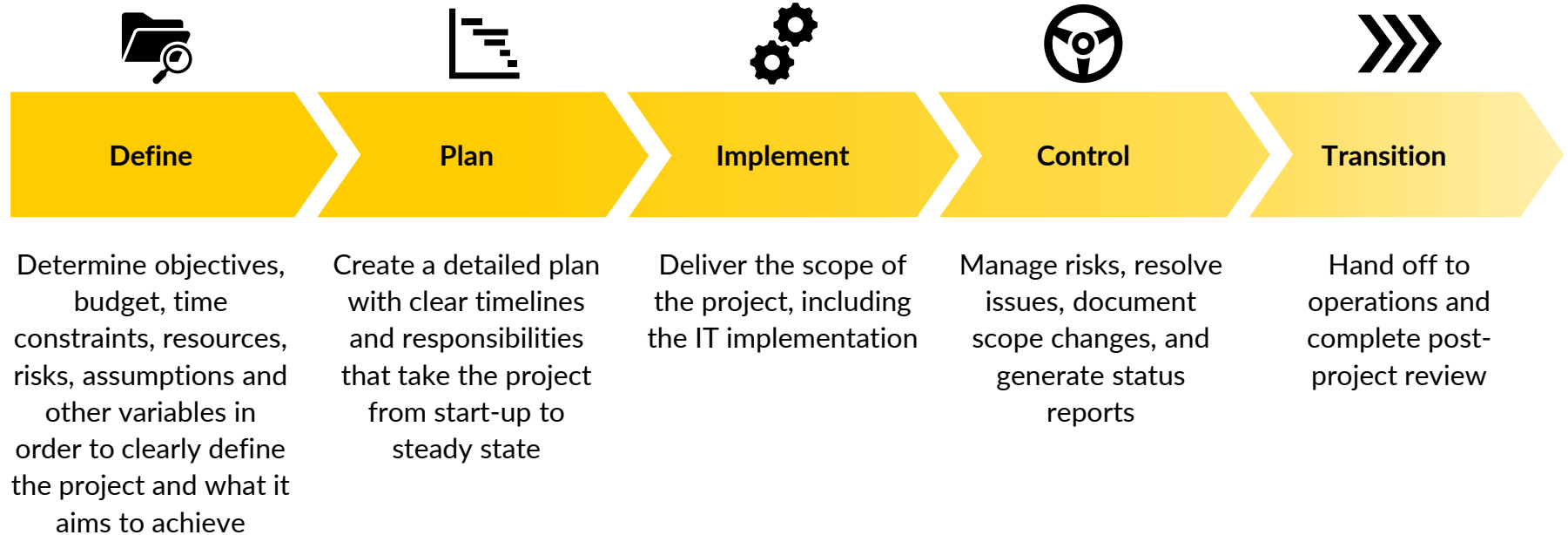
SmartScreen

SYSTEMS IMPLEMENTATION APPROACH



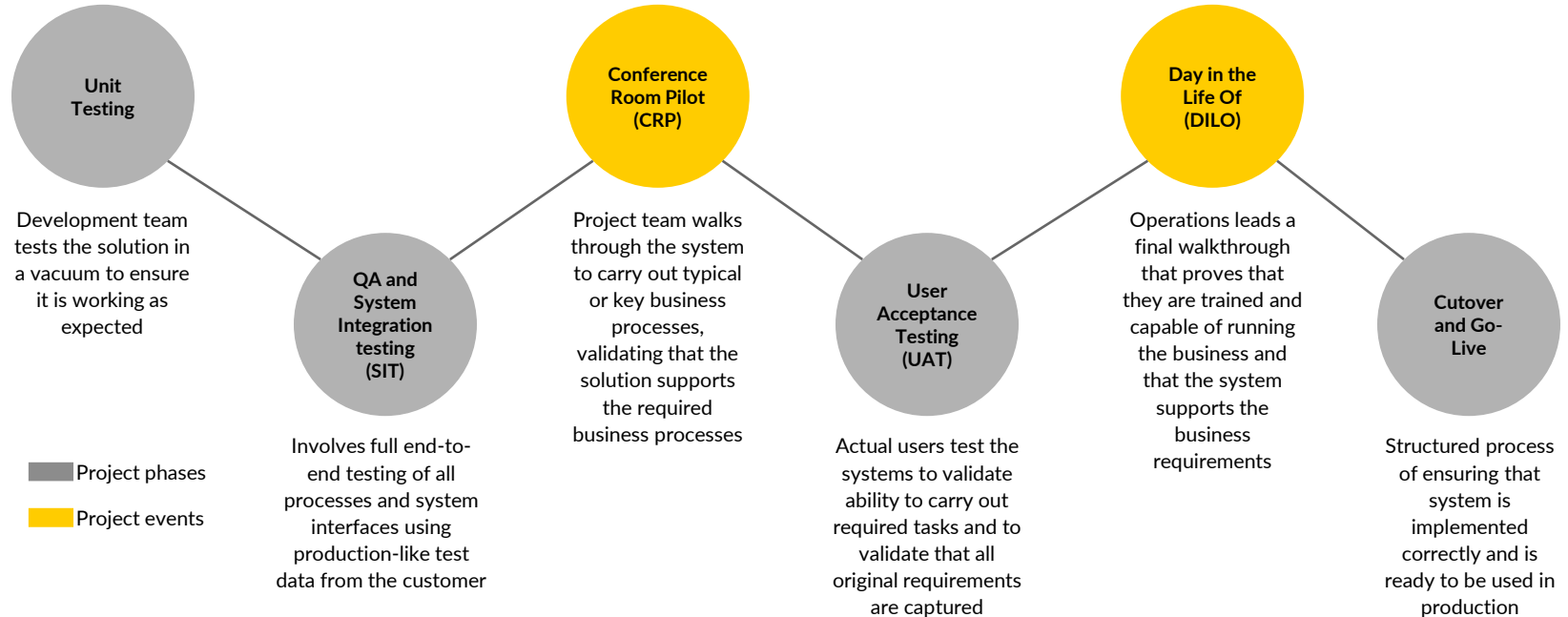
DePICT® project management methodology

Facilitates consistent, world-class project delivery for our customers

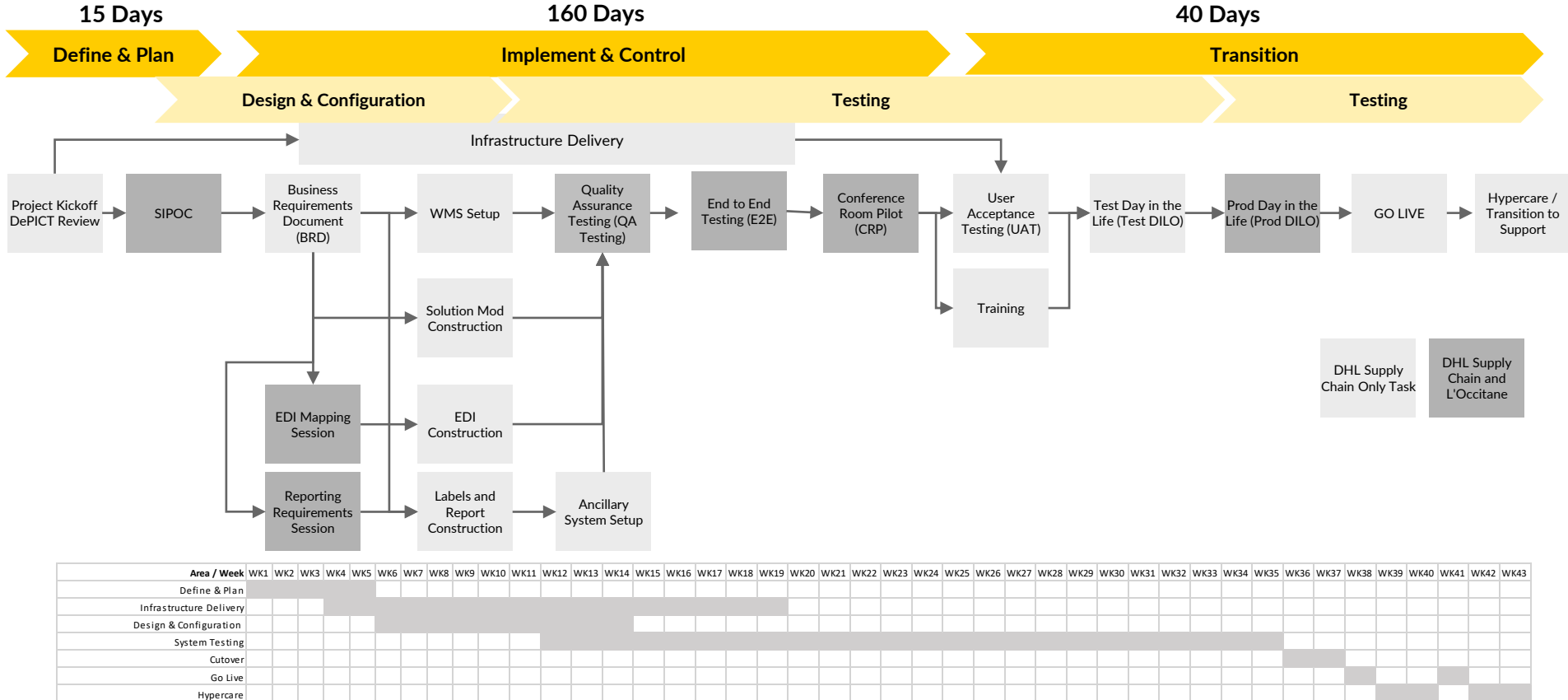


Systems Testing

DHL Supply Chain utilizes a robust testing approach that ensures the IT solution is working as expected and is meeting the needs of the end users



Example Timeline



RESILIENCE AND RISK MITIGATION



Risk Mitigation

The DHL approach to risk mitigation provides the backbone for our capability to reliably exceed customer expectations. The key tenants of the DHL risk management program are categorized as follows:

- Core Operations Management
 - Continuous Improvement
 - Labor Management
 - Peak Execution
- Systems Strategy
- Business Continuity



Core Operations Management – People Focused, Execution Edge



Continuous Improvement

Certified Supply Chain Specialist

- Developmental & problem-solving framework that begins on Day 1
- Mindset to deliver quality leadership and service excellence for L'Occitane
- Supports our Supply Chain Essentials: Right First Time, Can Do, & Passion

Operations Management System

- Creates a culture of continuous improvement using objective alignment, performance measurement, and active leadership

Continuous Improvement

- First Choice methodology
- Performance Dialog
- The Voice of the Customer

Labor Management

Labor Planning

- Forecasting labor demand
- Analyzing labor performance
- Balancing projected labor demand and supply utilizing internal and market insight and optics

Team Based Labor Strategy

- Collaborative approach & cross training emphasis to manage business volatility
- “High Touch” environment for the wholesale Specialist

Labor Management Program

- Engineered standards post Go Live
- Drives a coaching mentality while promoting associate recognition, incentive, and process improvement

Peak Planning

Comprehensive and collaborative approach towards peak season execution ...

Q1

- Lessons Learned, Infrastructure, formal CI commencement

Q2

- Detailed peak plan takes shape that considers expected volume, headcount requirements, marketing strategy, engagement & customer alignment

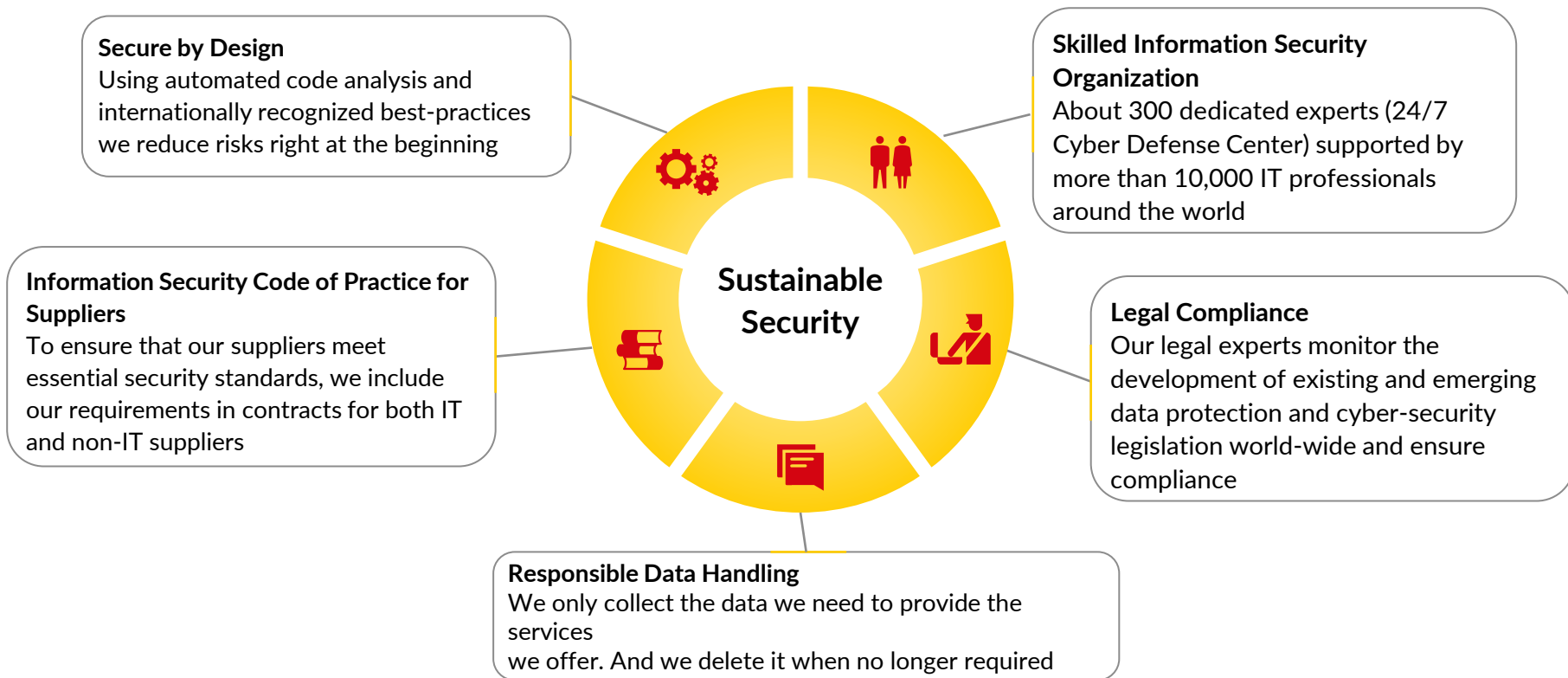
Q3

- Recruitment and training commences
- Stress test rates of flow and systems bandwidth
- Inventory and equipment prep

Q4

- Win the Weekend

Adaptive, integrated, intelligence-driven Cyber Defense Center



Best-in-class infrastructure solution to support your business



Production Services hosted
in the DHL Ashburn and
Mechanicsburg Data
Centers



High-capacity and highly
redundant wide area
network (WAN) between
the Data Centers



Leverages active
replications where possible



All network equipment and
peripherals are purchased
or leased by DHL



Virtual Servers replicated
via VMware Site Recovery
Manager (SRM)



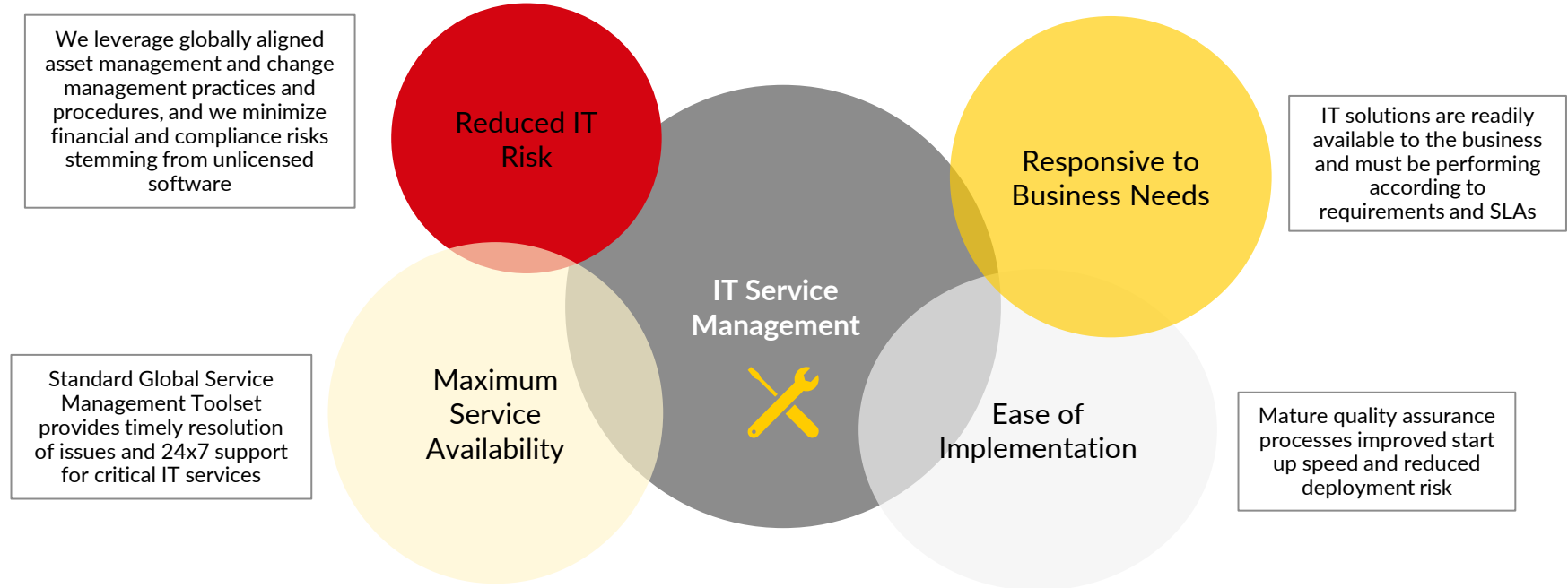
Oracle Database servers
replicated via Oracle Data
Guard



Physical Servers replicated
via clustering or replication
technologies

IT service management

Provides the infrastructure, operations, processes, people and competencies to deliver fit-for-use IT services



Disaster Recovery Solution

Deployed manually in the case of an adverse event, DSC's disaster recovery solution leverages virtual technology, providing **production application** and **database switchover** between the Ashburn and Mechanicsburg datacenters. This enables DHL to provide greatly improved SLAs for disaster recovery:



4 Hour Recovery Time Objective (RTO)

The targeted duration of time within which normal operations must be restored after a disaster or failure



30 Minutes of Recovery Point Objective (RPO)

The maximum targeted length of time in which data can be lost due to a failure or disaster

- ✓ In the event that an adverse event occurs, DHL Supply Chain will replicate all tiers of Application data between Ashburn and Mechanicsburg, enabling a “warm” standby
- ✓ According to the RPO, these replications cannot fall more than 30 minutes behind—in reality, ~one minute is the longest duration in between replications

Business Continuity

DHL Supply Chain has developed a comprehensive Business Continuity Management Strategy that all sites utilize for each of their respective customers: organized, supported and driven by the BCM 10 Step Methodology program. All sites are expected to have the architecture in place for an effective business continuity plan published and available on or before Day 1 of Go Live.

A summary of the BCM 10 Step Methodology is outlined below:

Step 1 BCM Policy

The site, in partnership with L'Occitane, will develop a policy that can be clearly communicated to all key stakeholders.

Step 2 Provision of Resource

An individual (GM) with the relevant seniority and authority will lead the BCM implementation at the site along with the guidance of the Business Continuity management team.

Step 3 Incident Management Team

A team will be established, comprised of a primary and deputy member with expert knowledge of each site function (Ops, Security, IT, HR). In the event of an incident, a representative of each function will be made available to make business critical decisions

Step 4 Business Impact Analysis

Step 5 Operational Risk Assessment

Step 6 Determining Mitigation Measures

Step 7 Determining BCM Strategy

Step 8 Business Continuity Plans (BCP's)

Step 9 Maintaining and Reviewing

Step 10 Testing and Exercising



#TOGETHERUNSTOPABLE

